

AUDIT COMMITTEE REPORT

The Audit Committee strengthened governance and oversight of financial reporting, internal controls, external and internal audit functions, with a focused emphasis on risk management and regulatory compliance



Yohan Perera
Chairman - Audit Committee

Meetings

04

Directors

04



03 Local

01 Foreign

Percentage of committee members who are Independent



The Audit Committee ("the Committee") is appointed by, and is responsible to, the Board of Directors of the Company for fulfilling its oversight responsibilities on financial reporting. It reviews the financial reporting process, the integrity of the financial statements, the systems of internal control, the audit process, and the Company's procedures for monitoring compliance with laws and regulations.

COMPOSITION OF THE AUDIT COMMITTEE

The Committee comprises three Independent Non-Executive Directors and one Non-Independent Non-Executive Director. The members of the Board who served on the Committee during the financial year 2025/26 are as follows:

- » Mr. Yohan Perera - Chairman (INED / SID)
- » Mr. Nanda Fernando – Committee Member (INED)
- » Mr. Arjun Senaratna – Committee Member (NINED)
- » Mr. Timothy Speldewinde – Committee Member (INED)

INED – Independent Non-Executive Director

NINED – Non-Independent Non-Executive Director

SID – Senior Independent Director

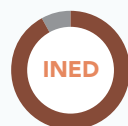
SECRETARY TO THE COMMITTEE

Hayleys Group Services (Private) Limited

ATTENDANCE AT COMMITTEE MEETINGS

The attendance of the members at these meetings is as follows:

Name of the Member	No. of Meetings Attended
Mr. Yohan Perera (INED/SID)	4 / 4
Mr. Nanda Fernando (INED)	3 / 4
Mr. Arjun Senaratne (NINED)	4 / 4
Mr. Timothy Speldewinde (INED)	4 / 4

ATTENDANCE
OVERVIEW:

92%



100%

The Chairman of the Committee is a senior Chartered Accountant. He is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka and a Fellow Member of the Chartered Institute of Management Accountants, UK. The other members possess relevant knowledge, qualifications and experience in financial reporting, internal controls, legal and regulatory requirements.

Brief profiles of each member are provided on pages 26 to 30 of this report. Their individual and collective financial knowledge, business acumen, and independence of the Committee, are brought to bear on their deliberations and judgments on matters that come within the Committee's purview.

AUDIT COMMITTEE REPORT

CHARTER OF THE AUDIT COMMITTEE

The Audit Committee Charter is periodically reviewed and revised with the concurrence of the Board of Directors to ensure that new developments relating to the functions of the Committee are incorporated. The Terms of Reference of the Committee are clearly defined in the Charter.

The Terms of Reference of the Committee were revised during the year under review to include oversight responsibilities on sustainability and environmental, social, and governance (ESG) related reporting.

The 'Rules on Corporate Governance' under the Listing Rules of the Colombo Stock Exchange and the 'Code of Best Practice on Corporate Governance' issued by the Institute of Chartered Accountants of Sri Lanka in 2023, further regulate the composition, roles and functions of the Committee.

MEETINGS OF THE AUDIT COMMITTEE

The Committee meets as often as necessary. During the financial year 2025/26, the Committee met quarterly to discuss the quarterly and annual financial statements.

The Chairman of the Board, Managing Director, Deputy Managing Director, Finance Director of the Company, the Hayleys Group Chief Financial Officer and the Head of the Hayleys Group Management Audit and System Review Department (MA & SRD) attend the meetings of the Committee by invitation. The External Auditors are also invited to be present where relevant.

The proceedings of the Committee are reported quarterly to the Board of Directors by tabling the minutes of the Committee meetings and an update by the Chairman of the Committee on matters that require the attention of the Board.

Audit Committee meeting papers, including the agenda, minutes and related reports and documents, are circulated to the Committee members in advance.

THE AUTHORITY OF THE AUDIT COMMITTEE

- » Recommend the appointment, reappointment, dismissal, service period, and fees of the External Auditor.
- » Establish and maintain a direct communication channel with the External Auditor.
- » Resolve any issues regarding financial reporting between Management and the External Auditor.
- » Pre-approve all audit and non-audit services performed by the External Auditor and internal audit service providers.
- » Seek any information required from employees or external parties relating to investigations.
- » Meet with Management and External Auditor as necessary to carry out the assigned duties.

ACTIVITIES IN 2025/26

The committee inter alia engaged in the following activities during the financial year under review:

Financial Reporting System

The Committee reviewed the quality and integrity of the financial reporting system adopted by the Group in the preparation of its quarterly and annual financial statements to ensure the reliability of the processes and consistency of the accounting policies and methods adopted and their compliance with the Sri Lanka Financial Reporting Standards. The methodology included obtaining statements of compliance from Heads of Finance and Directors in Charge of operating units and the Finance Director.

The Committee recommended the financial statements to the Board of Directors for its deliberations and approval.

The Committee, in its evaluation of the financial reporting system, also recognised the adequacy of the content and quality of routine management information reports forwarded to Management, regulatory authorities and shareholders.

Further, the Committee reviewed the procedures established by Management to comply with regulatory requirements and is satisfied that financial reporting requirements under the Listing Rules of the Colombo Stock Exchange, the Companies Act No. 07 of 2007, Securities and Exchange Commission of Sri Lanka (SEC) Act, and other relevant financial reporting-related regulations and requirements are met.

During the year, the Committee reviewed and monitored reports furnished by the Company including the Certificate of Compliance attested by the Managing Director and the CFO of the Company, confirming compliance with all applicable statutory and regulatory requirements.

Internal Control Systems

The Committee reviewed the process to assess the adequacy and effectiveness of the internal financial controls that have been designed to provide reasonable assurance to the Directors that Group assets are safeguarded and the financial reporting system can be relied upon in the preparation and presentation of financial statements.

The Hayleys Group MA & SRD who are the Internal Auditors of the Company and the Group regularly reports on key control elements and procedures in Group companies that are selected according to a Group annual internal audit plan. Internal audits are outsourced, wherever necessary to leading audit firms in line with the Annual audit plan. The Committee obtained significant findings and recommendations together with Management's responses on

the review of the internal controls carried out by the internal auditors and provided recommendations for improvement. Follow-up reviews were scheduled to ascertain that audit recommendations are being acted upon.

The Committee also evaluated the internal audit function, covering key areas such as scope, quality of internal audits, independence, and resources. The Committee appraised the independence of the Hayleys Group MA & SRD, in the conduct of their assignments.

The Annual Internal Audit Plan is approved by the Audit Committee and its progress is reviewed on a quarterly basis in order to reflect the changing business needs and to ensure new and emerging risks are considered. During the financial year 2025/26, Four (04) internal audits were performed.

Risk Management

The Committee obtained and reviewed the Key Business Risks Dashboard prepared by the Company identifying the major business risks, and mitigation actions taken or contemplated for the management of these risks and a progress update every quarter. The COSO Enterprise Risk Management (ERM) process is presently being implemented within the Group.

The Committee maintains a close oversight of the information security systems of the Company and the Group to ensure that its digital infrastructure remains resilient against external threats and internal vulnerabilities.

The Committee also reviewed Environmental, Social, and Governance (ESG) risk assessments during the year, thereby identifying, prioritising, and monitoring sustainability-related risks and opportunities.

The Committee reviewed the risk management, internal controls, business continuity planning, information security systems and potential cyber risks in the Group and appropriate remedial actions were recommended to Management and the Board.

EXTERNAL AUDIT

During the year under review, the Audit Committee held meetings with the External Auditor to review the Audit Plan, detailing the nature, approach and scope of the audit. Before the conclusion of the audit, the Committee met with the External Auditors and management to consider the results of the audit. The External Auditor's Management Letter on the audit of the Group entities was discussed with the External Auditor and management.

The Committee also reviewed the other services provided by the External Auditor to ensure that their independence and objectivity were not impaired. The Committee provides opportunities for the External Auditor to meet with the Audit Committee members independently, as and when required.

The Audit Committee annually reviews the appointment of the External Auditor and makes recommendations to the Board accordingly. During the financial year, the Committee assessed the independence and effectiveness of the External Audit function and was satisfied that the independence of the External Auditor had not been impaired by any event or service that could give rise to a conflict of interest. Due consideration has been given to the nature of the services provided by the External Auditor and the level of audit and non-audit fees received by the Auditor, in order to ensure that it did not compromise their independence. The Committee provides the opportunity for the External Auditor to meet the Audit Committee Members independently, if necessary.

The Committee obtained written representations from the External Auditors that they are and have been independent throughout the conduct of the audit engagement in terms of all relevant professional and regulatory requirements and has made a determination of the independence of auditors based on the same.

The current External Auditor, Messrs. Ernst & Young, Chartered Accountants, was initially appointed w.e.f. FY 2011/12 and continues to hold that position. A partner rotation of the external auditors takes place periodically, with the most recent rotation having taken place in the financial year 2025/26.

APPOINTMENT OF EXTERNAL AUDITORS

The Committee recommended to the Board of Directors that Messrs. Ernst & Young, Chartered Accountants, continue as the External Auditors for the financial year ending 31st March 2027 after evaluating the scope, delivery of the audit, resources and the quality of the assurance initiatives undertaken during the financial year 2025/26.

COMPLIANCE

The Committee obtained written assurances from the Managing Director and the Finance Director of the Company on the status of the Group's operations and finances.

The Committee also received representations on the adequacy of provisions made for possible liabilities and reviewed reports tabled by Group companies confirming their compliance with relevant statutory requirements.

Further, the Committee obtained regular updates from the Head of Human Resources and Legal regarding compliance matters.

ETHICS AND GOOD GOVERNANCE

The Committee continuously emphasises the upholding of ethical values among staff members. In this regard, the Internal Code of Business Conduct and Ethics, and policies on Whistleblowing and Anti-Bribery and Corruption were put in place. The policies were followed by educating and encouraging all members of the staff.

All appropriate procedures are in place to conduct independent investigations into incidents reported through Whistleblowing or identified through other means. The Whistleblower Policy guarantees strict confidentiality of the identity of the whistleblowers.

AUDIT COMMITTEE REPORT**SRI LANKA ACCOUNTING STANDARDS**

The Committee reviewed the revised policy decisions relating to the adoption of new and revised Sri Lanka Accounting Standards (SLFRS/LKAS) applicable to the Company and made recommendations to the Board of Directors.

The Committee continues to monitor compliance with relevant Accounting Standards and keeps the Board of Directors informed at regular intervals. The Committee has sought the assistance of Messrs. Ernst & Young to assess and review the existing SLFRS policies and procedures adopted by the Group and continuously monitors the progress of the implementation of SLFRS as per the requirements of Sri Lanka Accounting Standards.

SUPPORT TO THE COMMITTEE

The Committee received information and support from Management during the year to enable it to carry out its duties and responsibilities effectively.

EVALUATION OF THE COMMITTEE

An independent evaluation of the effectiveness of the Committee was carried out by the other members of the Board during the financial year, and considering the overall conduct of the Committee and its contribution to the overall performance of the Company, the Committee has been rated as highly effective.



Yohan Perera
Chairman - Audit Committee

19th May 2026